Another method of sharing of KYC details is through the use of "Oracles" which were discussed earlier. The insurance companies can obtain the necessary information from trusted third party sources like Government institutions after getting the relevant approval from the data owner.

In India also, companies are actively looking at blockchain based solutions to store KYC data and reduce costs. Thirteen insurance companies have come together create a central registry of policyholder data. This will eliminate the need for iterations of the same data for the same customer across multiple policies.

Since a blockchain is built on a system of distributed ledger, with every block recorded with a date and time stamp and a unique hash ID, it is nigh impossible to hack or alter the records. Any changes in the data like change of address, name etc. is recorded as a new block. Compared to the current method of storing data on a centralised server which is vulnerable and susceptible to cyber attacks, this is a boon for the insurance companies and the customers. Just look at some of the high profile data thefts: Yahoo: 1 billion accounts hacked in 2013, 500 million in 2014; eBay: 145 million hacked in 2014; LinkedIn: 117 million in 2012 and these are just the tip of the iceberg. Battling this is a nightmare for financial institutions, a problem which blockchain technology tackles very efficiently. In terms of costs and manpower, there is significant reduction and the element of human error is completely eliminated.

Fraud Detection and Prevention

Insurance fraud is a plague tormenting the industry for years. Multiple claims, fraudulent claims, forged or phony documents are some of the issues that blockchain technology can tackle and eliminate.

As we saw in smart contracts, every claim filed is recorded as a new block on the network. The network independently verifies this claim against the given parameters. Since a block once created cannot be changed, multiple claims are automatically detected on the network and immediately rejected.

In this network, the claims are also verified with trusted third party institutions like hospitals, garages, Government departments etc. thereby ensuring the veracity of the claim. E.g. a mediclaim filed by the insured is verified against the hospital and pharmacy records which are also connected on the network.

The verification process can be expanded to validate asset ownership and double checked with police theft records to ensure that an authentic